Northwind Logistics, Inc.

Q2 FY2025 to Q3 FY2025

One quarter after raising guidance on a “yield story,” Northwind cut FY2025 revenue and EPS guidance, withdrew the FY2026 mid-87s operating ratio target, and deferred a terminal as tonnage fell 4.3% versus a flat-to-down-2% assumption.

DETERIORATING DISCLOSURE READ, NOT A VIEW ON THE SHARES

From confident beat-and-raise to open mea culpa. In July, Whitfield framed softness as contained — June tonnage (2)% was disclosed but guidance was raised on both lines with the explicit claim “the raise is fundamentally a yield story, not a volume story.” In October, the opening line is “the third quarter was difficult, and I want to start by being direct about it,” with the CEO stating “I own that the guidance was too optimistic on volume.” Management moved from conditional caution (“if tonnage were to fall materially further than that, we would have a conversation”) to defensive action: guidance cut, capex cut $50M, San Antonio deferred, buyback throttled from $75M to $20M, headcount down 3%, and an explicit refusal to reaffirm the FY2026 operating ratio framing or call a bottom.

WHAT CHANGED

Metric	Q2 FY2025	Q3 FY2025	Direction
Revenue (y/y growth)	$1.42B, +8.4% (+9.6% ex-fuel)	$1.39B, +0.7% (+1.4% ex-fuel)	DOWN
Growth essentially vanished in one quarter; all of the remaining growth is price, none is volume.			
Tonnage per day (y/y)	+3.1% for Q2; June (2)%	(4.3)% for Q3; September (5.6)%; October tracking in line with September	DOWN
The single most damaging delta. June’s (2)% was the floor embedded in July guidance; actuals came in more than twice as bad and are still worsening month to month.			
Operating ratio	88.4%, (80) bps improvement, best Q2 in company history	89.8%, +140 bps deterioration y/y	DOWN
A 220 bps swing in the y/y direction. Driven by volume deleverage on a fixed terminal network, ~6% driver wage inflation, and insurance/claims up 12% y/y on industry accident severity — a cost line not flagged in July.			
Adjusted EPS (y/y)	$1.86, +11.4% vs $1.67	$1.71, (4.5)% vs $1.79	DOWN
From double-digit growth to decline. GAAP EPS $1.63 includes $9M of San Antonio deferral costs.			
Yield (revenue per cwt ex-fuel) vs driver wage inflation	Yield +5.2% vs wages +6%/hour	Yield +5.1% actual, Q4 guided ~4.5%, vs wages still ~6%/hour	DOWN
Pricing held in the quarter but the forward gap widens as renewals moderate from high-single-digit to mid-4s. The CFO conceded this gap is structural, not cyclical, and cited it as a main reason for not reaffirming FY2026.			
Last-mile segment	$186M, +24%, (1.8)% operating margin	$204M, +19%, +0.4% operating margin — first profitable quarter ever	UP
The one genuine improvement, and it beat management’s own two-to-three-quarter breakeven promise. But growth is decelerating as onboarding laps, and $204M inside a ~$5.6B revenue base is immaterial to the consolidated story.			

GUIDANCE CHANGE

Cut on every line. FY2025 revenue to $5.55-$5.65B from $5.75-$5.85B (-$200M, (3.4)% at midpoint); FY2025 adjusted EPS to $6.60-$6.85 from $7.10-$7.40 (-$0.525, (7.2)% at midpoint); FY2025 capex to $360M from $410M (-$50M). The revised range embeds Q4 tonnage down 4-6% (versus July’s flat-to-down-2% for the balance of the year) and yield of ~4.5% (versus mid-single-digit). The July path to a mid-87s FY2026 operating ratio was explicitly not reaffirmed, with FY2026 guidance deferred to January. Note the net two-quarter effect: EPS guidance is now $0.40 below the midpoint of the range that stood before the July raise.

TONE OF MANAGEMENT

Materially more sober and more conditional. July language was assertive — “best second quarter in the company’s history,” “raised guidance built on pricing we have visibility into,” “we are comfortable with that trade.” October opens with “the third quarter was difficult” and closes with “the environment moved against us faster than we expected, and our guidance reflected an optimism on volume that did not materialize.” The hedging in Q2 Q&A (“it assumes a stable environment... it does require that the current softness doesn’t deepen significantly”) was converted into an explicit withdrawal three months later. Lee’s candour increased rather than decreased — he volunteered that the wage/yield gap is “a structural headwind that doesn’t depend on the cycle” and called it “the honest picture.” Whitfield still defends the price-over-volume principle (“the principle holds”) but now qualifies it with lane-by-lane threshold reviews, a softening of the July absolutism.

NEW RISKS THIS PERIOD

1. Volume decline has not bottomed: October to date is running in line with September’s (5.6)%, and management explicitly refuses to call a bottom, leaving the already-cut Q4 guide (tonnage down 4-6%) exposed.
2. Insurance and claims expense up 12% y/y on industry-wide accident severity — a new cost headwind not mentioned in Q2.
3. Guidance credibility impaired: the raise 90 days ago rested on a volume floor that broke within the quarter, and the FY2026 operating ratio framing offered in July has been withdrawn before it was ever formalized.
4. Pricing discipline now has a measurable volume cost — ~$40M of annualized revenue walked away from — and management has opened the door to lane-level flexibility, hinting the yield discipline that supported the July thesis may bend.

RISKS NO LONGER EMPHASIZED

1. Last-mile loss-making status resolved: segment reached its first-ever profitable quarter at 0.4% margin, and management states the driver (insourcing off purchased transportation) is durable with no one-time benefit.
2. Customer concentration stopped rising: top-10 flat at 31% q/q versus July’s warning it “may tick up modestly.”
3. Purchased transportation cost pressure, cited in Q2 as a margin drag, improved as last-mile accounts moved onto owned capacity.
4. Laredo terminal execution risk reduced: opened in September with cross-border volumes in line with plan.

WHAT TO WATCH NEXT QUARTER

1. Monthly tonnage prints versus the Q4 guide of down 4-6% — October is already tracking at September’s (5.6)% trough, so the cut guide has little cushion if destocking persists.
2. The January FY2026 guide, specifically whether a mid-87s operating ratio reappears or is replaced by something materially worse, and what tonnage and yield assumptions underpin it.
3. The yield/wage spread: whether renewal pricing holds near the guided ~4.5% against ~6% wage inflation, and whether management broadens the lane-level pricing flexibility it hinted at — which would signal the pricing discipline pillar is cracking.